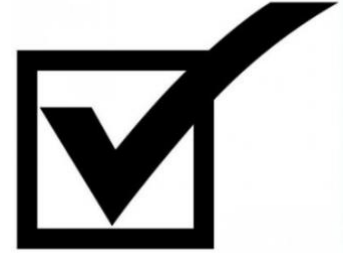




**BUSINESS  
PROFESSIONALS**  
of **AMERICA**  
Giving Purpose to Potential



# COLLEGE ACCOUNTING (105)

## STATE 2022

### CONCEPT KNOWLEDGE:

Multiple Choice (15 @ 2 points each) \_\_\_\_\_ (30 points)

### APPLICATION KNOWLEDGE:

Short Answer \_\_\_\_\_ (39 points)

Inventory Methods \_\_\_\_\_ (60 points)

Journal Entries \_\_\_\_\_ (64 points)

***TOTAL POINTS*** \_\_\_\_\_ ***(193 points)***

## Test Time: 90 minutes

### **GENERAL GUIDELINES:**

*Failure to adhere to any of the following rules will result in disqualification:*

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

### **EXAM GUIDELINES:**

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimal places at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

### Multiple Choice

- |      |       |       |
|------|-------|-------|
| 1. C | 6. C  | 11. A |
| 2. B | 7. A  | 12. D |
| 3. D | 8. C  | 13. B |
| 4. D | 9. C  | 14. A |
| 5. A | 10. B | 15. A |

### Short Answer (Grader: Each answer is worth 3 points)

1. In 2021, Jets Company earned a gross profit of \$10,832 million on net sales of \$33,695. What is Jets' gross profit percentage for 2016?

**32.1%**

2. The following data refer to Cardinals Company's ending inventory:

| Item code   | Quantity | Unit Cost | Unit Market |
|-------------|----------|-----------|-------------|
| Small       | 100      | \$228     | \$232       |
| Medium      | 420      | 152       | 176         |
| Large       | 600      | 168       | 176         |
| Extra-Large | 220      | 268       | 256         |

How much is the inventory if the lower of cost or market rule is applied to each item of inventory?

**\$243,760**

3. For 2021, Buccaneers Company reported sales of \$1,800,000, cost of goods sold of \$1,200,000, and a gross profit of \$600,000. Buccaneers' inventory at January 1, 2021 was \$340,000; the inventory at December 31, 2021 was \$500,000. What is Buccaneers' 2021 inventory turnover ratio?

**2.86**

4. The records of Vikings Inc. at the end of the year included the following.

| Item                                                             | Amount    |
|------------------------------------------------------------------|-----------|
| Merchandise sold, in transit, shipped f.o.b. destination         | \$240,000 |
| Merchandise sold, in transit, shipped f.o.b. shipping point      | 320,000   |
| Merchandise purchased, in transit, shipped f.o.b. destination    | 100,000   |
| Merchandise purchased, in transit, shipped f.o.b. shipping point | 190,000   |

What amount would Vikings Inc. include on its year-end balance sheet for inventory?

**\$430,000**

5. The following aging information pertains to Ravens' accounts receivable at December 31, 2021:

| Days Outstanding | Amount    | Estimated % Uncollectible |
|------------------|-----------|---------------------------|
| 0-30             | \$420,000 | 2%                        |
| 31-60            | 140,000   | 5%                        |
| 61-120           | 100,000   | 10%                       |
| Over 120         | 120,000   | 70%                       |

Ravens' December 31, 2021 balance in Allowance for Doubtful Accounts was \$4,000 credit.

a) What amount of Allowance for Doubtful Accounts should Ravens' report on its December 31, 2021 balance sheet?

**\$109,400**

b) What will be the net realizable value of Accounts Receivable on Ravens' December 31, 2021 balance sheet

**\$670,600**

c) What amount of Bad Debt Expense should Ravens' report on its income statement ending December 31, 2021?

**\$105,400**

6. On December 31, 2021 before adjusting entries, Accounts Receivable for Cowboys Company had a debit balance of \$200,000, and the Allowance for Doubtful Accounts had a credit balance of \$6,000. Credit sales for the year were \$1,600,000.

a) If credit losses are estimated at 1% of credit sales, what amount of Bad Debt Expense will be reported on the December 31, 2021 income statement?

**\$16,000**

b) If credit losses are estimated at 1% of credit sales, what amount of will be the balance of Allowance for Doubtful Accounts will be reported on the December 31, balance sheet?

**\$22,000**

7. On January 1, 2021, the accounts receivable balance for Eagles Company was \$28,000 and the balance in the allowance for doubtful accounts was \$2,800. On that day, a \$1,200 doubtful account was written-off. The net realizable value of accounts receivable immediately after the write-off is:

**\$25,200**

8. During 2021, Rams Company's credit sales were \$524,000, and its cash collections from credit customers were \$500,000. Also, \$7,200 in doubtful accounts receivable were written off (using the allowance method) during the year. On December 31, 2021, the company's Accounts Receivable balance was \$100,000. What must have been the balance of accounts receivables on January 1, 2021?

**\$83,200**

9. Colts Corp. sold goods, with a selling price of \$3,400, for cash. The state sales tax rate is 8%. What amount is credited to the Sales Revenue account? (Round calculations to the nearest dollar.)

**\$3,400**

10. On January 1, 2022, Broncos Inc. acquired a machine for \$1,100,000. The estimated useful life of the asset is five years. Residual value at the end of five years is estimated to be \$61,000. Calculate the depreciation expense per year using the straight-line method.

**\$207,800**

**Problem 1 (60 Points)****Grader: Each shaded total is worth 5 points**

The following data represent the beginning inventory and, in order of occurrence, the purchases and sales of Falcons Inc. for an operating period.

|        |                                |        |                       |
|--------|--------------------------------|--------|-----------------------|
| Jan. 1 | On hand, 10 units at \$80 each |        |                       |
|        | <u>Purchases</u>               |        | <u>Sales</u>          |
| Jan. 8 | 25 units at \$92 each          | Jan. 4 | 8 units @ \$300 each  |
| 22     | 50 units at \$104 each         | 15     | 20 units @ \$300 each |

| <b>FIFO</b>   | <b>Purchases</b> |                  |                   | <b>COGS</b> |                  |                   | <b>Inventory on Hand</b> |                   |                      |
|---------------|------------------|------------------|-------------------|-------------|------------------|-------------------|--------------------------|-------------------|----------------------|
| <b>Date</b>   | <b>Qty</b>       | <b>Unit Cost</b> | <b>Total Cost</b> | <b>Qty</b>  | <b>Unit Cost</b> | <b>Total Cost</b> | <b>Qty</b>               | <b>Unit Cost</b>  | <b>Total Cost</b>    |
| Jan. 1        |                  |                  |                   |             |                  |                   | 10                       | \$80              | \$800                |
| Jan. 4        |                  |                  |                   | 8           | \$80             | \$640             | 2                        | \$80              | \$160                |
| Jan. 8        | 25               | \$92             | \$2300            |             |                  |                   | 2<br>25                  | \$80<br>92        | \$160<br>2300        |
| Jan. 15       |                  |                  |                   | 2<br>18     | \$80<br>92       | \$160<br>1656     | 7                        | \$92              | \$644                |
| Jan. 22       | 50               | \$104            | \$5200            |             |                  |                   | 7<br>50                  | \$92<br>104       | \$644<br>5200        |
| <b>Totals</b> | <b>75</b>        |                  | <b>\$7,500</b>    | <b>28</b>   |                  | <b>\$2,456</b>    | <b>57</b>                |                   | <b>\$5,844</b>       |
|               |                  |                  |                   |             |                  |                   |                          |                   |                      |
| <b>LIFO</b>   | <b>Purchases</b> |                  |                   | <b>COGS</b> |                  |                   | <b>Inventory on Hand</b> |                   |                      |
| <b>Date</b>   | <b>Qty</b>       | <b>Unit Cost</b> | <b>Total Cost</b> | <b>Qty</b>  | <b>Unit Cost</b> | <b>Total Cost</b> | <b>Qty</b>               | <b>Unit Cost</b>  | <b>Total Cost</b>    |
| Jan. 1        |                  |                  |                   |             |                  |                   | 10                       | \$80              | \$800                |
| Jan. 4        |                  |                  |                   | 8           | \$80             | \$640             | 2                        | \$80              | \$160                |
| Jan. 8        | 25               | \$92             | \$2300            |             |                  |                   | 2<br>25                  | \$80<br>92        | \$160<br>2300        |
| Jan. 15       |                  |                  |                   | 20          | \$92             | \$1840            | 2<br>5                   | \$80<br>92        | \$160<br>460         |
| Jan. 22       | 50               | \$104            | \$5200            |             |                  |                   | 2<br>5<br>50             | \$80<br>92<br>104 | \$160<br>460<br>5200 |
| <b>Totals</b> | <b>75</b>        |                  | <b>\$7,500</b>    | <b>28</b>   |                  | <b>\$2,480</b>    | <b>57</b>                |                   | <b>\$5,820</b>       |

**Problem 2 (64 Points)**

**Grader: 2 points for each account and 2 point for each amount; no point for dates.**

**Account titles may be different, but must be similar.**

Packers Inc. had the following transactions in February. Prepare the appropriate journal entries on the General Journal paper below, assuming Packers uses a perpetual inventory method and records both purchases and sales of inventory using the gross method.

|         |                                                                                                                         |
|---------|-------------------------------------------------------------------------------------------------------------------------|
| Feb. 5  | Purchased inventory on account for \$3000 plus sales tax of 7%, credit terms 1/15, EOM                                  |
| Feb. 7  | Sold \$525 of merchandise on account, credit terms 4/10, n/30, with a sales tax rate of 8%. Cost of the goods is \$250. |
| Feb. 9  | Paid \$50 for transportation of goods purchased on February 5                                                           |
| Feb. 10 | Returned \$300 of defective merchandise to the seller from February 5 purchase                                          |
| Feb. 15 | Received payment from customer for the amount due from the February 7 sale                                              |
| Feb. 18 | Paid for goods purchased on February 5.                                                                                 |

| General Journal |                     |        |        |
|-----------------|---------------------|--------|--------|
| Date            | Account             | Debit  | Credit |
| Feb. 5          | Inventory           | 3,000  |        |
|                 | Accounts Payable    |        | 3,000  |
| Feb. 7          | Accounts Receivable | 567    |        |
|                 | Sales               |        | 525    |
|                 | Sales Tax Payable   |        | 42     |
| Feb. 9          | Inventory           | 50     |        |
|                 | Cash                |        | 50     |
| Feb. 10         | Accounts Payable    | 300    |        |
|                 | Inventory           |        | 300    |
| Feb. 15         | Cash                | 544.32 |        |
|                 | Sales Discounts     | 21.00  |        |
|                 | Sales Tax Payable   | 1.68   |        |
|                 | Accounts Receivable |        | 567    |
| Feb. 18         | Accounts Payable    | 2,700  |        |
|                 | Cash                |        | 2,673  |
|                 | Inventory           |        | 27     |